■ LexAI Risk Report

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Document Type	Rental Agreement
Overall Risk	HIGH
Total Clauses Found	14
High Risk Clauses	3
Medium Risk Clauses	6
Low Risk Clauses	5

Document Summary

This rental agreement outlines the terms and conditions between a property owner and a tenant for a residential property. It details responsibilities regarding rent, utilities, maintenance, security deposit, property usage, repairs, and the process for agreement termination and dispute resolution.

■ HIGH RISK CLAUSES (3)

1. Security Deposit

Original Text: The Tenant will pay to the Owner an interest-free refundable security deposit of Rs.(Amount in Numbers) vide cheque no (Cheque Number) dated (date of the cheque) at the time of signing the Rent Agreement. The said amount of the Security deposit shall be refunded by the Owner to the Tenant at the tim...

Explanation: You will pay a refundable, interest-free security deposit. This will be returned when you move out, less any unpaid dues or costs for damages beyond normal wear and tear. Importantly, if the owner doesn't refund the deposit, you have the right to legally stay in the property without paying rent or other charges until it is refunded.

Recommendation: Document the property's condition with photos/videos at move-in and move-out. Keep all payment receipts. The right to hold possession without rent is a significant protection for you, but it should be exercised cautiously and with legal advice if needed. Always try to resolve disputes amicably first.

2. Penalty for Overstaying

Original Text: That in case, where the Premises are not vacated by the Tenant, at the termination of the Rent period, the Tenant will pay damages calculated at two times the rent for any period of occupation commencing from the expiry of the Rent period. The payment of damages as aforesaid will not preclude the Ow...

Explanation: If you do not vacate the property by the agreed termination date, you will be liable to pay double the normal rent as a penalty for the additional period you occupy the premises. This penalty does not prevent the owner from taking legal action to evict you.

Recommendation: It is critical to vacate the property on time. Overstaying can lead to significant financial loss due to the double rent penalty and potential legal troubles like eviction proceedings, which can be time-consuming and expensive under Indian law.

3. Agreement Registration and Costs

Original Text: That the Rent Agreement will be registered in front of the Registrar and the charges towards stamp duty, court fee & lawyer/coordinator will be equally borne by the Owner and Tenant.

Explanation: This rental agreement will be officially registered with the government. The associated costs, including stamp duty, court fees, and legal/coordinator charges, will be split equally between you and the owner.

Recommendation: Under Indian law (e.g., Registration Act, 1908), registering a rental agreement for a period exceeding 11 months is mandatory. This ensures its legal validity and protects both parties. Ensure the agreement is registered and keep proof of your share of the payment. An unregistered agreement has limited legal standing in court.

■ MEDIUM RISK CLAUSES (6)

1. Maintenance Charges

Original Text: That the Tenant shall pay to the Owner a monthly maintenance charge of Rs.(Amount in Numbers) towards the maintenance of Generator & Elevator, Salaries towards guards, Charges for Electricity Maintenance for Common Areas, Charges towards cleaning of Common Areas and towards maintaining the lawn.

Explanation: In addition to your monthly rent, you must pay a separate charge for the upkeep of common facilities like generators, elevators, security guards, common area electricity, cleaning, and lawn maintenance.

Recommendation: Understand what services are included in the maintenance charge. You might request a breakdown of costs to ensure fairness and transparency. Ensure these services are provided as agreed.

2. Utility Bill Payments

Original Text: That during the Rent period, in addition to the rental amount payable to the Owner, the Tenant shall pay for the use of electricity and water as per bills received from the authorities concerned directly...At the time of handing over possession of the premises back to the Owner by Tenant, it is the ...

Explanation: You are responsible for paying your electricity and water bills directly to the respective departments, based on your consumption. The owner is responsible for bills before you move in, and you are for bills until you move out.

Recommendation: Take clear photographs of the electricity and water meter readings when you move in and when you move out. Ensure all previous bills are cleared by the owner before you take possession.

3. Subletting Restriction

Original Text: That the Tenant shall not sublet, assign or part with the demised premises in whole or part thereof to any person in any circumstances whatsoever and the same shall be used for the bonafide residential purposes only.

Explanation: You are strictly prohibited from renting out the property (or any part of it) to another person. The property must only be used by you and your family for living purposes, not for business or other activities.

Recommendation: Comply strictly with this clause. Subletting without the owner's explicit written consent can lead to immediate termination of the agreement and potential legal action, as it's a breach of contract.

4. Repair Responsibilities

Original Text: That the day-to-day minor repairs will be the responsibility for the Tenant at his/her own expense. However, any structural or major repairs, if so required, shall be carried out by the Owner.

Explanation: You are responsible for small, routine repairs like fixing a leaky tap or replacing light bulbs. The owner is responsible for major repairs, such as structural issues, major plumbing failures, or significant electrical system problems.

Recommendation: Clearly distinguish between minor and major repairs. For major repairs, inform the owner in writing immediately. Keep records of any minor repair expenses you incur, especially if they are debatable.

5. Property Alterations

Original Text: That no structural additions or alterations shall be made by the Tenant in the premises without the prior written consent of the Owner but the Tenant can install air-conditioners in the space provided and other electrical gadgets and make such changes for the purposes as may be necessary, at his own...

Explanation: You cannot make permanent changes to the property's structure without the owner's written permission. You may install items like air-conditioners or other electrical gadgets at your expense, but you must remove them and restore the property to its original condition when you leave.

Recommendation: Always seek written permission from the owner for any modifications beyond simple electrical gadget installation. Be prepared to bear the cost of restoring the property to its original state when vacating.

6. Termination Notice Period

Original Text: That this Rent Agreement can be terminated before the expiry of this tenancy period by serving One month prior notice in writing by either party.

Explanation: Either you or the owner can end this agreement early by providing a written notice one month in advance to the other party.

Recommendation: If you plan to vacate early, ensure you give a clear, written notice to the owner one month prior. Similarly, demand a written notice from the owner if they wish to terminate the agreement early. This is crucial under Indian Rent Control Acts.

■ LOW RISK CLAUSES (5)

1. Agreement Period

Original Text: The rent in respect of the “Demised Premises” shall commence from (Starting Date of Agreement) and shall be valid till (Expiry Date of Agreement). Thereafter, the same may be extended further on mutual consent of both the parties.

Explanation: This clause specifies the exact start and end dates of your rental period. After this period, any extension will require a new agreement or mutual consent from both you and the owner.

Recommendation: Note down these dates carefully. If you wish to extend your stay, start discussions with the owner well before the expiry date and ensure any extension is documented in writing.

2. Monthly Rent Payment

Original Text: That the Tenant shall pay to the Owner a monthly rent of Rs.(Amount of rent in Numbers), excluding electricity and water bill. The rent shall be paid on or before 7th day of each month without fail.

Explanation: You are required to pay a fixed amount of rent every month by the 7th day. This amount does not cover electricity and water bills, which you will pay separately.

Recommendation: Always pay your rent on or before the due date to avoid any late fees or breach of agreement. Keep proper records of all your rent payments.

3. Owner's Right of Entry

Original Text: That the Owner shall hold the right to visit in person or through his authorized agent(s), servants, workmen etc., to enter upon the demised premises for inspection (not exceeding once in a month) or to carry out repairs / construction, as and when required.

Explanation: The owner or their representatives have the right to enter the property for inspection (up to once a month) or to carry out necessary repairs or construction work.

Recommendation: While the owner has this right, it is generally expected that they will inform you in advance and arrange a mutually convenient time, respecting your privacy. You can request prior notice for any visits.

4. Owner's Tax and Society Fee Responsibility

Original Text: That the Owner shall pay for all taxes/cesses levied on the premises by the local or government authorities in the way of property tax for the premises and so on. Further, any other payment in the nature of subscription or periodical fee to the welfare association shall be paid by the Owner.

Explanation: The owner is responsible for paying all property-related government taxes (like property tax) and any fees or subscriptions due to the building's resident welfare association.

Recommendation: This clause is beneficial to you as it clarifies that these significant financial responsibilities are the owner's. Ensure you are not charged for these items.

5. Dispute Jurisdiction

Original Text: In case of any dispute to this agreement and the clauses herein, the same will be settled in the jurisdiction of the (city) civil courts.

Explanation: Any disagreements or legal issues arising from this agreement will be heard and resolved by the civil courts located in a specific city, which will be named in the final document.

Recommendation: Be aware of the city named here, as any legal action concerning the agreement would need to be filed in its civil courts.
